HSC ECONOMICS · NEWS SUMMARY · STORY 11

STUDENT HANDOUT

RBA's Kent asks whether interest rates are high enough

Reserve Bank of Australia speech and CommBank, 19 October 2026 · Topic 4: Economic Policies and Management · prepared 20 October 2026

4.60%
cash rate after the 29 Sept rise, the fourth this year and highest in about 15 years [3] [6]

'Somewhat'
restrictive: Kent's description of current monetary policy [1]

28 Oct
September quarter CPI release [5]

3 Nov
next RBA Monetary Policy Board decision [3]

RBA Assistant Governor Christopher Kent told a CommBank conference on 19 October that monetary policy is working broadly as expected, but questioned whether it is 'restrictive enough' [1][2]. He said the neutral interest rate appears to be rising, which means a 4.60% cash rate may slow the economy less than it would have in the past. He also noted the labour market is loosening faster than forecast [1].

KEY FACTS

- Kent said there is reasonable evidence that neutral rates are rising in Australia and overseas, partly because of government spending and AI-related investment. But estimates are very uncertain [1].
- The cash rate and its expected path over the next 18 months sit at the upper end of the RBA's neutral estimates, so policy is only 'somewhat restrictive' [1][2].
- Housing credit, dwelling investment, housing turnover and consumption are softening, but business credit is growing strongly [1].
- He said the channels of monetary policy (exchange rate, wealth, and saving and borrowing decisions) are working. He argued the cash-flow channel gets too much attention, partly because of mortgage offset accounts [1][2].
- A higher AUD helps by lowering the local cost of imports, including fuel. The AUD is marginally above its estimated long-run level [1][2].
- Concern: supply shocks from the Middle East, strong labour costs and weak productivity could cause second-round effects, as businesses are passing costs on [1].
- The RBA's September minutes were hawkish, but Governor Bullock said after that meeting that four rate rises may be enough [5]. Economists are split on whether rates rise again on 3 November [4].

SYLLABUS LINKS

- **Topic 4** Monetary policy: the RBA's objectives, the cash rate, and the stance of policy (neutral, restrictive, expansionary).
- **Topic 4** The transmission mechanism: interest rate, exchange rate, wealth, cash-flow and saving channels.
- **Topic 4** Limitations of monetary policy: time lags, uncertainty about neutral rates, and supply shocks.
- **Topic 3** The trade-off between inflation and unemployment (NAIRU).

KEY TERMS

Cash rate: the interest rate on overnight loans between banks, set by the RBA as its policy target.

Restrictive policy: a cash rate above neutral, designed to slow demand and reduce inflation.

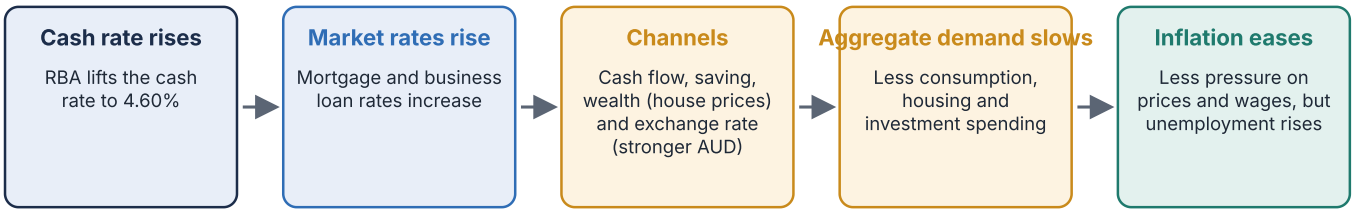
Policy lags: the delay between a rate change and its full effect on the economy.

Neutral interest rate: the cash rate that neither speeds up nor slows down the economy.

Transmission mechanism: the ways a change in the cash rate affects spending, output and inflation.

Hawkish / dovish: leaning towards higher rates to fight inflation / leaning towards lower rates to support growth.

THE MONETARY POLICY TRANSMISSION MECHANISM



Effects take 12–24 months or more, and the strength depends on where the neutral rate is. If neutral has risen, 4.60% is less restrictive than it looks.

COMPETING PERSPECTIVES

Rates may need to rise again

- Inflation (4.0%) is above target and the neutral rate may be higher [1][6].
- Business credit is growing strongly [1].
- Second-round effects from energy prices are a risk [1].
- Westpac and EY economists expect another rise [4].

Rates are high enough

- Unemployment is at a five-year high and rising faster than forecast [1][4].
- Housing and consumption are already softening [1].
- Policy lags mean past rises have not fully worked yet [2].
- CBA expects a hold; Bullock said four rises may suffice [4][5].

EVIDENCE FOR EXTENDED RESPONSE

Sample question: Evaluate the effectiveness of monetary policy in achieving internal balance in Australia.

- Use Kent's evidence that transmission channels are working (housing, wealth, exchange rate) [1].
- Limitation: uncertainty about the neutral rate makes the policy stance hard to judge [1].
- Limitation: supply shocks (oil) cannot be fixed by rates; lags are long and variable [1][2].
- Trade-off: unemployment 4.7% vs inflation 4.0% (Stories 8 and 10).

SHORT-ANSWER QUESTIONS 15 marks

1. Define the 'neutral' interest rate. **2 marks**

2. Explain why a rise in the neutral interest rate makes it harder for the RBA to set monetary policy. **3 marks**

3. Explain TWO channels through which higher interest rates reduce inflation. **4 marks**

4. Assess whether the RBA should raise the cash rate again in November 2026. **6 marks**

SOURCES

1. Reserve Bank of Australia, *Fireside chat at the Commonwealth Bank's Global Markets Conference (Christopher Kent)*, 19 Oct 2026. https://www.rba.gov.au/speeches/2026/sp-ag-2026-10-19.html
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4. ABC News, *Unemployment remains at 4.7pc in September with interest rate hike possible*, 15 Oct 2026. https://www.abc.net.au/news/2026-10-15/unemployment-rate-september-2026-australia/107268870
5. MacroBusiness, *The economic week in review*, 17 Oct 2026. https://www.macrobusiness.com.au/2026/10/the-economic-week-in-review-3/
6. ABC News, *RBA unlikely to lift rates again in November after lower-than-expected inflation figures*, 30 Sep 2026. https://www.abc.net.au/news/2026-09-30/inflation-august-2026-australia-bureau-of-statistics/107210688

Note: SMH and AFR coverage could not be retrieved. Kent's remarks are summarised from the RBA's published page; he spoke in a personal Q&A format and did not signal the Board's decision.